Revision Date:
January 1, 2025

Background:
State regulation requires certain types of payments or benefits be included, excluded, or exempted in whole or in part from consideration as income.

Purpose:
The purpose of this section is to provide income definitions, and to explain that certain income types are considered in the CalWORKs program eligibility and benefits determination. The purpose of this material revision is to include Paid Family Leave (PFL) as part of disability-based unearned income.

Policy:
Income is, generally, any benefit in cash or in-kind which is reasonably anticipated to be available to the family members, or is received by them, as a result of:

- Current or past labor or services.
- Business activities.
- Interests in real or personal property.
- Contribution from persons, organizations, or assistance agencies.

To be considered in the determination of CalWORKs payments, income must be reasonably anticipated to be available to the Assistance Unit (AU) members in meeting their needs during the Semi-Annual Reporting (SAR) or Annual Reporting/Child Only (AR/CO) Payment Period. All income unless exempted or excluded is counted in evaluating the need and in determining the amount of benefits for the AU.

Separate Income
Separate income is:

- Income derived from an interest in separate property.
- Income resulting from employment or military service which occurred before the present marriage.
- Income received after a decree of separate maintenance has been issued, as distinguished from a decree of dissolution.
- Income received when one spouse is living apart from the other spouse, as well as income received after dissolution.
- Funds awarded to a married person from their spouse in a civil action for personal injuries are considered that spouse's separate income during the month of receipt and separate property if retained past the month of receipt.

Community Income
Community income is:

- Generally, income derived from an interest in community property.
- Income resulting from employment or military service performed during the marriage, but not after a decree of separate maintenance or a decree of dissolution.

- Funds awarded to a married person in a civil action for personal injuries are considered community income during the month of receipt and community property if retained past the month of receipt (except as provided in the previous section).

Current Income

Current income is all income which is available during a month without regard to any allowable exemptions or disregards.

Earned Income

Earned income is gross income received as wages, salary, tips, employer provided sick leave benefits, commissions or profit from self-employment.

Earned income also includes:

- Earnings over a period of time for which settlement is made at one given time (such as sale of farm crop, livestock, poultry), other than the sale of an entire holding.
- Returns from personal or real property, such as net income from rental of rooms.
- Earnings under Title 1 of the Elementary and Secondary Education Act, and wages paid under the Workforce Investment Act (WIA) of 1998. Earnings of a child, which is derived from participation in WIA programs are disregarded from consideration as income for both eligibility and grant determination. (Earned income does not include the training allowances paid to a recipient in WIA programs. The expense allowance paid to an adult WIA participant is applied against the actual expense of training in determining net income. Only the amount that exceeds the expense is counted as income).
- Payments under the Economic Opportunity Act, including payments to beneficiaries of assistance under the act, through such programs as Neighborhood Youth Corps, etc.
- Training incentive payments and work allowances under ongoing manpower programs, other than Employment Services and WIA.
- Earnings from On-the-Job Training (OJT), Paid Work Experience (PWX), and Paid Community Service (PCS).

Disability-Based Unearned Income (DBI)

DBI is defined as income received **only** from one or more of the following:

- State Disability Insurance (SDI) benefits also referred as Disability Insurance Benefits (DIB). SDI provides short-term wage replacement benefits to eligible California workers, if they are unable to work and are losing wages because of their own non-work-related illness, injury, or pregnancy.
  Note: For pregnancy-related disability, after the birth of the child, the person may be eligible for six weeks whether there was eligibility prior to the birth of the child. A referral to SDI must be made.
- Private Disability Insurance (PDI) benefits. Includes all privately purchased or employer-sponsored disability insurance benefits whether there is an employee contribution. PDI benefits do not include disability benefits that are not insurance.
- Temporary Workers' Compensation (TWC) benefits.
- Temporary Disability Indemnity (TDI) benefits.
- Social Security Disability Insurance (SSDI) benefits.

- Veteran's Disability Compensation (VDC) benefits; The Veteran's Administration (VA) has many types of VDC benefits. The benefits received by veterans and their spouses, children, or parents, depend on different factors. Regardless of the type of VDC benefit being paid or to whom it's being paid, the AU is entitled to the recipient Earned Income Disregard (EID) amount if the payment is based on the veteran's disability. VDC benefit types include but not limited to:
  - Disability Compensation.
  - Special Monthly Compensation.
  - Individual Unemployability.
  - Title 38 U.S.C. 1151 Claim.
- PFL benefits; PFL are benefits that allow individuals to take time off work for eligible reasons, including to care for a seriously ill family member, to bond with a new child, and to participate in a qualifying event because of a family member's military deployment.

The above DBI types are entitled to the recipient EID, including children receiving DBI (based on their parent's disability). Any other types of disability income, which do not meet the above categories, are considered unearned income and not entitled to the recipient EID. Refer to CPG 44-100.C for more information.

Voluntary Contribution
A voluntary contribution is one for which the contributor has no legal liability.

Death Benefits
Death benefits include life insurance or burial payments made to the deceased's beneficiary.

Income In-Kind
Income In-Kind is any benefit received other than in cash for an item of need. It includes the value of needs items provided at no charge.

Interest Income
Interest on a savings account in a bank, savings and loan association, or other institution authorized to accept savings.

Nonrecurring Lump-Sum Payments
Nonrecurring lump-sum payments are considered property under the SAR/Prospective Budgeting (PB) system. Lump sum income is any income received by an AU which is non-recurring and therefore not expected to continue. Such nonrecurring lump sum income must be treated as property in the month of receipt and must not be used to determine benefit amounts.

Lump sum income includes but is not limited to the following:
- Retroactive Unemployment Insurance Benefits (UIB).
- Retroactive Social Security Benefits (excluding Social Security or Supplemental Security Income/State Supplemental Payments [SSI/SSP]).
- Wages such as commissions, bonuses, and self-employment earnings not received on a regular payment basis (monthly, biweekly, weekly etc.).

- Personal injury awards and Worker's Compensation payment not owed for expenses related to the accident or injury.
- Non-exempt loans and grants.
- Retroactive SDI/PDI Benefits.
- Veteran's benefits (excluding educational).
- Lottery winnings, gifts, and inheritances.

Availability of Income

State regulations require that all reasonably anticipated income be considered available to meet the needs of the AU during the SAR or AR/CO Payment Period and will be considered when determining eligibility and grant amount, except:

- Interest – Interest, which is received on a regular basis, but less frequently than monthly, is to be apportioned equally over the number of months it has accrued beginning with the month after receipt.
- Contractual - Contractual income employees receive under an annual contract of employment is to be apportioned equally over the period of the contract beginning with the first month of the contract when they work and receive income from such contract in fewer than 12 months, but more than 8 months.
- Child Support - Child support collected by the county is not considered available income.
- Monthly Recurring Unearned Governmental Benefits - Monthly benefits (for example Social Security benefits, or Veterans benefits, etc.) will be considered to be available in the month the payment is reasonably anticipated to be received or is intended for, when the income meets all the following criteria:
  - The receipt date of the income varies because mailing cycles cause two payments to be received in one month and none in the preceding or following month.
  - The source of income is a governmental benefit program.
  - The income is unearned and recurring.

Eligibility Condition

Aid will be denied or discontinued, including immediate need, when an AU fails to seek and accept potentially available income as follows:

- If the person is a mandatory AU member, the entire AU will be denied or discontinued.
- If the person is an optional AU member, only the optional person will be denied or discontinued.

Staff is responsible for reviewing potential income availability to the customer from all sources. The customer, including the person responsible for the child must provide information necessary to determine income or evidence that all actions to obtain potentially available income have been taken. This requirement is considered met on the date of application as long as it is completed by the date of authorization of aid.

Note: Customers will not be required to file a new application for SSI/SSP benefits when the application for these benefits is pending during an appeals process. Providing proof of the pending hearing is sufficient to show that the customer is attempting to obtain these benefits.

Unconditional Available Income

Income is considered unconditionally available if the customer has only to claim or accept the income. Unconditionally available income may include:

- Social insurance benefits.
  - Old-Age, Survivors, and Disability Insurance (OASDI).
  - UIB.
  - SDI or DIB.
- Benefits available to veterans of military service, members of military service, their spouses, and their dependents.
- Railroad retirement benefits, private pension plans, union welfare funds.
- Life insurance disability benefits.
- Workers' Compensation benefits.
- PDI benefits.
- Other persons who may be contributing, such as contributions from relatives.
- Interest payments.
- Salary or other earned income due and payable.
- Customer's capacity for self-help and employment.
- Other forms of assistance.
- Any outstanding debts owed to the customer.

Treatment of Payments from Conversion of Property

Payments from compensation for converted property are those payments received from insurance companies, settlements, court judgments, or other similar sources which wholly or partially compensate for property which has been lost, stolen, damaged, or destroyed.

The proper treatment of these payments is made by determining the proportion of the payment attributed to the property conversion, that portion is considered property. The remainder is treated as income. This is done by subtracting from the total amount of the payment, the value of the converted property at the time it was lost, stolen, damaged, or destroyed.

Determination of Value for Conversion of Property

The value of the property is the largest of the following amounts:

- The value specified by the issuing source (insurance claim, specified verdict, etc.).
- The value assigned to the property at the renewal prior to its destruction.
- The value that would have been assigned to the property under current regulations.
- Any other evidence substantiating the value of the property at the time it was destroyed.

Impacts:

None.

Procedure:

None.

References:

- Eligibility Assistance Standards (EAS) 44-101, 44-102, 44-103, 44-105, 82-610.
- All County Letter (ACL) No. 14-109, 23-30.

Sunset Date:

This policy will be reviewed for continuance by January 31, 2028.

Approval for Release:

1-31-25

Rick Wanne, Director
Self-Sufficiency Services